

FinVista Capital — Market Intelligence Division

Global Market Outlook: Q4 2024 & 2025 Forecast

Executive Summary

Global financial markets demonstrated resilience in Q4 2024 despite persistent macroeconomic headwinds. The S&P 500 returned +6.2% in Q4, bringing the full-year return to +24.1%. The Federal Reserve held rates steady at 5.25–5.50% through Q4 before cutting 25bps in December 2024. Global GDP growth is projected at 3.1% for 2025 per IMF estimates. Emerging markets outperformed developed markets in Q4 with MSCI EM returning +7.4% vs +5.8% for MSCI World. Key risks for 2025 include geopolitical tensions, AI-driven labor market disruption, and potential resurgence of inflation from supply chain pressures.

Global Equity Market Performance Q4 2024

Index	Q4 2024 Return	Full Year 2024	P/E Ratio	Outlook 2025
S&P 500 (US)	+6.2%	+24.1%	21.4x	Neutral — Positive
NASDAQ Composite	+8.7%	+29.6%	27.8x	Positive
MSCI Europe	+3.1%	+9.8%	14.2x	Neutral
MSCI Emerging Markets	+7.4%	+8.3%	12.8x	Positive
Nikkei 225 (Japan)	+4.8%	+19.4%	18.1x	Neutral — Positive
FTSE 100 (UK)	+2.9%	+7.2%	11.6x	Neutral
CSI 300 (China)	+5.6%	+14.7%	13.4x	Cautious
SENSEX (India)	+6.1%	+15.8%	23.7x	Positive

Fixed Income & Interest Rate Outlook

The US 10-year Treasury yield ended Q4 2024 at 4.20%, down from 4.58% at the end of Q3. The Fed's December cut sparked a bond rally, with the Bloomberg US Aggregate returning +1.8% in Q4. FinVista's base case for 2025 projects 2 additional 25bps Fed cuts (bringing Fed Funds to 4.75%), with the ECB cutting 3 times to 3.25% and Bank of England cutting twice to 4.50%. Duration extension is recommended for investment-grade portfolios with a target duration of 6.5–7.5 years.

Central Bank	Current Rate	Q2 2025F	Q4 2025F	2025 Direction
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US Federal Reserve	5.00–5.25%	4.75%	4.75%	↓ 2 cuts
European Central Bank	3.50%	3.25%	3.00%	↓ 2-3 cuts
Bank of England	5.00%	4.75%	4.50%	↓ 2 cuts
Bank of Japan	0.25%	0.50%	0.75%	↑ Normalizing
Reserve Bank of India	6.50%	6.25%	6.00%	↓ 2 cuts
People's Bank of China	3.45%	3.35%	3.25%	↓ Easing

Sector Recommendations 2025

Sector	Recommendation	Weight vs Benchmark	Key Thesis
Technology	Overweight	+5%	AI productivity boom, strong FCF generation
Healthcare	Overweight	+3%	Aging demographics, GLP-1 drug pipeline
Financials	Neutral	0%	Higher for longer rates benefit NIM
Energy	Underweight	-2%	Transition risks, OPEC supply uncertainty
Consumer Discretionary	Neutral	0%	Soft landing scenario supports spending
Industrials	Overweight	+2%	Reshoring, infrastructure investment cycle
Real Estate (REITS)	Underweight	-3%	Rate sensitivity, office sector challenges
Utilities	Neutral	0%	Data center power demand is a positive
Materials	Underweight	-2%	China demand uncertainty, margin pressure

Key Risks to Monitor in 2025

Geopolitical Escalation: Ongoing conflicts in Ukraine and Middle East with potential supply chain disruption. Probability: 35%

Inflation Re-acceleration: Services inflation remains sticky; energy supply shock could push CPI back to 4%+. Probability: 25%

China Economic Slowdown: Property sector stress and weak domestic consumption could weigh on global growth. Probability: 40%

AI Bubble Concerns: Technology valuations appear stretched; earnings must deliver to justify multiples. Probability: 30%

US Fiscal Sustainability: Rising deficit (7% of GDP) and debt service costs create long-term USD headwinds. Probability: 20%